



STUDY THE IMPACT OF PERSONAL EXPENDITURE USING UPI TRANSACTION

Registration number - G 22

UPI: Revolutionizing India's Digital Payments

Launch & Vision:

- UPI was launched by NPCI in 2016.
- RBI introduced a vision in 2014 for a safe, efficient, and accessible payment system, aiming to reduce cash reliance and boost financial inclusion.
- NPCI was tasked with developing solutions, leading to the creation of UPI.



Features of UPI:



- Real-time, mobile payment system.
- Payments via Virtual Payment Address (VPA), mobile number, Aadhaar, or QR code.
- Operates 24/7, unlike NEFT/RTGS which have time restrictions.

Impact on Consumer Spending

- Increased transaction speed and convenience.
- Encourages higher spending frequency and lowers transaction avoidance.
- Transformed consumer consumption behavior by making payments seamless and quick.



Review of literature

From Cash to Cashless: The Effect of UPI on Indian Users' Purchasing Patterns

- Authors: Dev, H., Gupta, R., Dharmavaram, S., & Kumar, D. (2024)
- Summary: UPI has transformed India's financial landscape, making transactions quicker and safer. However, it has raised concerns about impulsive buying and financial restraint, prompting studies on its effect on consumer purchasing behavior.

Device Identity-Grounded User Authentication on E-Wallets

- Authors: Hassan, M. A., & Shukur, Z. (2021)
- Summary: E-wallets have changed the payment ecosystem, but security remains a concern. Research emphasizes the importance of multi-factor authentication (MFA) combining biometrics and device identity for secure transactions.

Understanding UPI Payment Adoption Among Rural Women

- Authors: Swapna, N. S., & Kanthimathinathan, D. (2025)
- Summary: This study explores rural women's adoption of UPI in India, using the Technology Acceptance Model (TAM) to understand factors like perceived ease of use, utility, and the perceived threat to adoption.

UPI: A Digital Transformation in India

- Authors: Baliyan, D., & Singh, N. (2023)
- Summary: UPI has significantly impacted India's digital payment landscape, simplifying transactions and increasing digital payment adoption, contributing to a shift towards a cashless economy.

A Study on Digital Payment Systems & Consumer Perception

- Author: Pandey, S. K. (2022)
- Summary: The study highlights the rapid growth of digital payments in India, accelerated by the COVID-19 pandemic, which made consumers prefer cashless transactions for health reasons. It also emphasizes the importance of convenience, security, and ease of use in driving digital payment adoption.

A Study on UPI Transactions in India

- Authors: Kumar, S. V., & Unnisa, N. (2024)
- Summary: UPI has facilitated cashless transactions in India, fostering financial inclusion and contributing to economic growth. The study highlights trends in UPI adoption and its role in promoting financial literacy and economic development.

Objectives

- 1) To understand whether the ease of UPI payments encourages unplanned or impulsive purchases compared to more traditional forms of payment.
- 2) To understand the impact of UPI on consumer expenditure behaviour. Customer trust and confidence in making financial transactions through UPI.
- 3) To examine how the ease of digital payment systems impacts impulsive spending and the frequency of transactions compared to traditional payment methods (cash or cards).



RESEARCH METHODOLOGY

Data collection

- **Sampling Unit**
- **Sampling size**
- **Sampling procedure**

SAMPLING UNIT

- The sampling unit for the research was the population using UPI transactions for personal expenditure.

SAMPLING SIZE

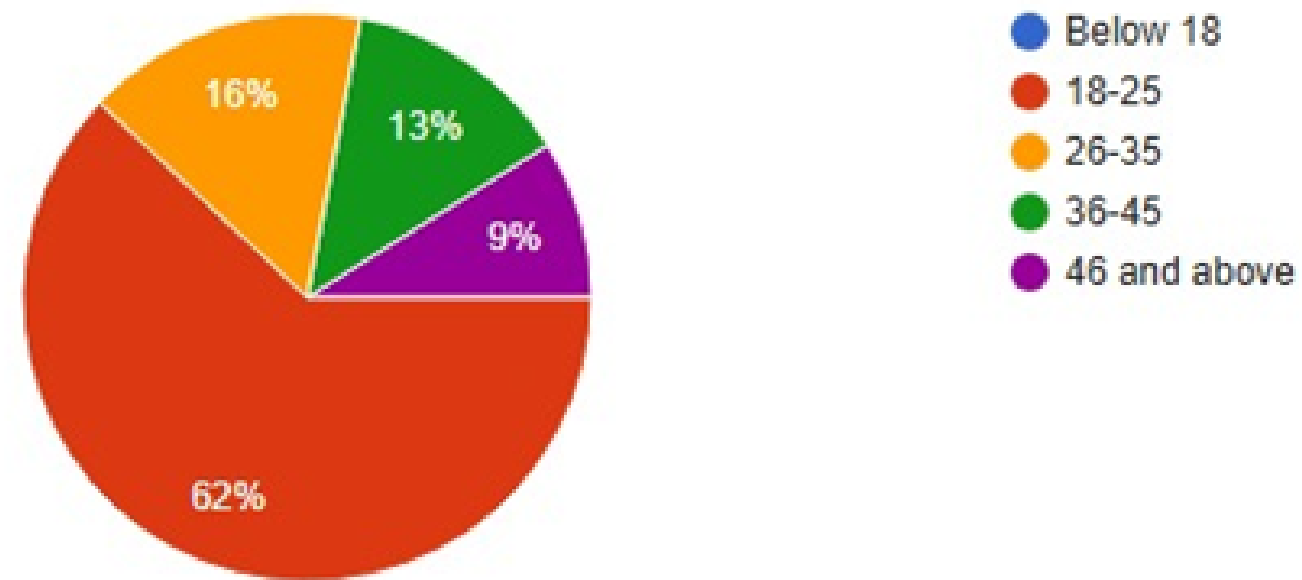
- The sample size decided in this research was 100

SAMPLING PROCEDURE

- For the collection of primary data, a well-structured questionnaire was floated among different sects of the population in different parts of India.

Age Group:

100 responses



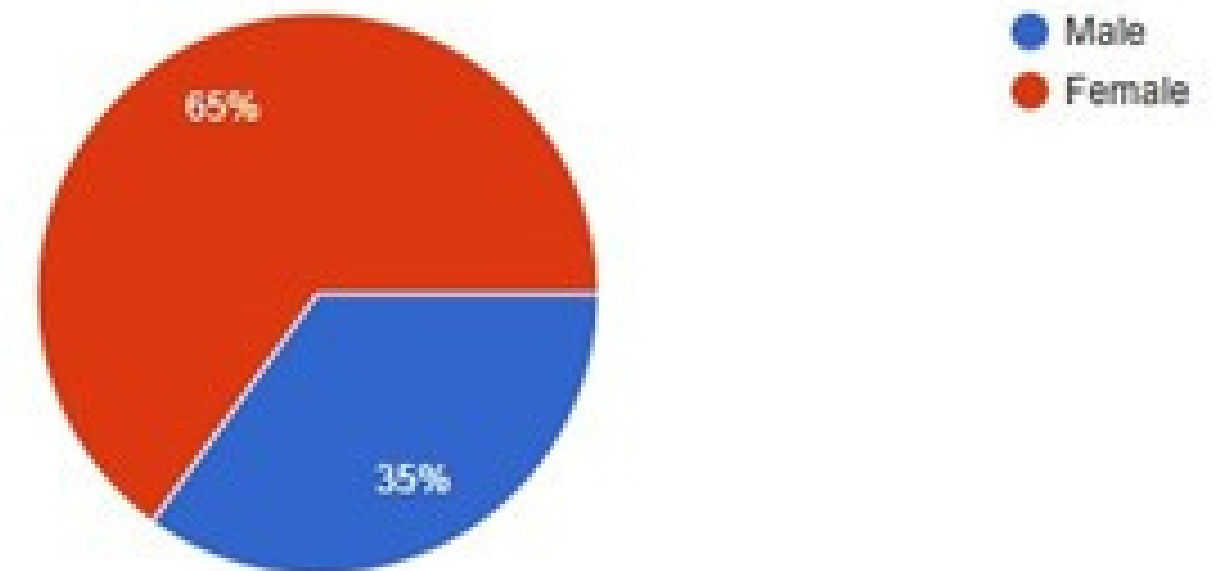
DATA ANALYSIS

The majority of respondents, about 62%, were between 18-25 years old, followed by 16% in the 26-35 age group.

65% of our participants were female, while 35% were male.

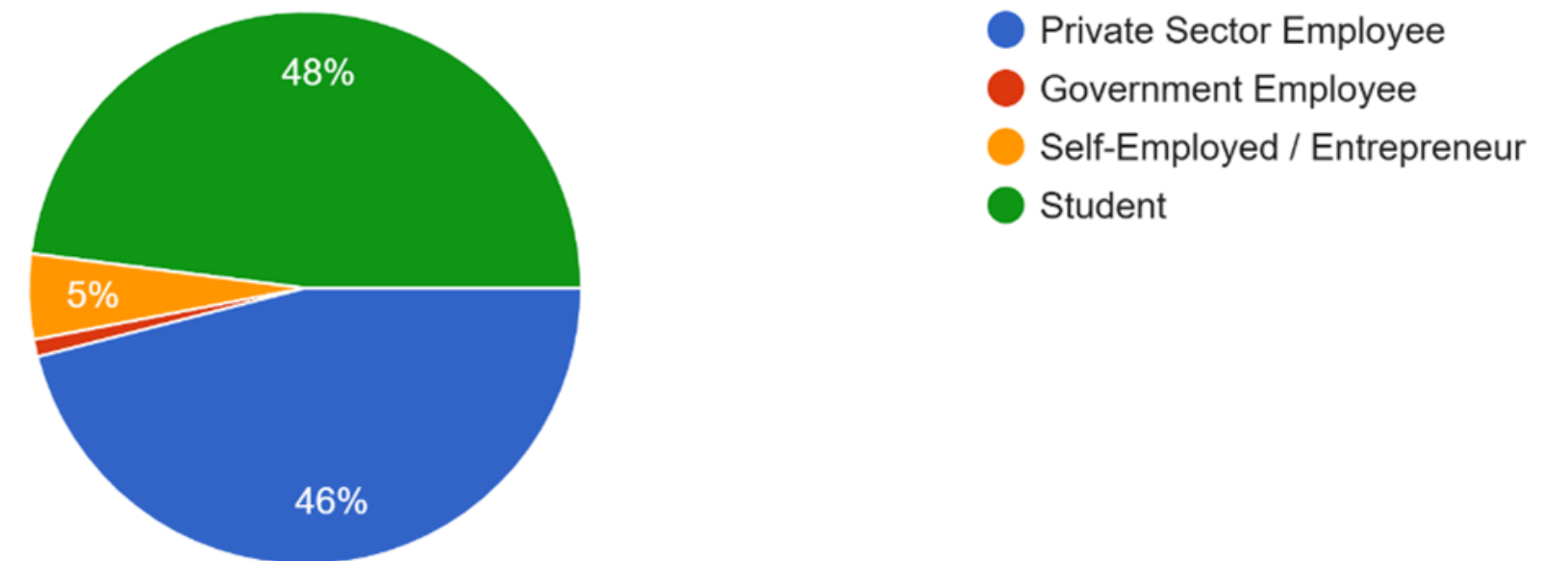
Gender:

100 responses

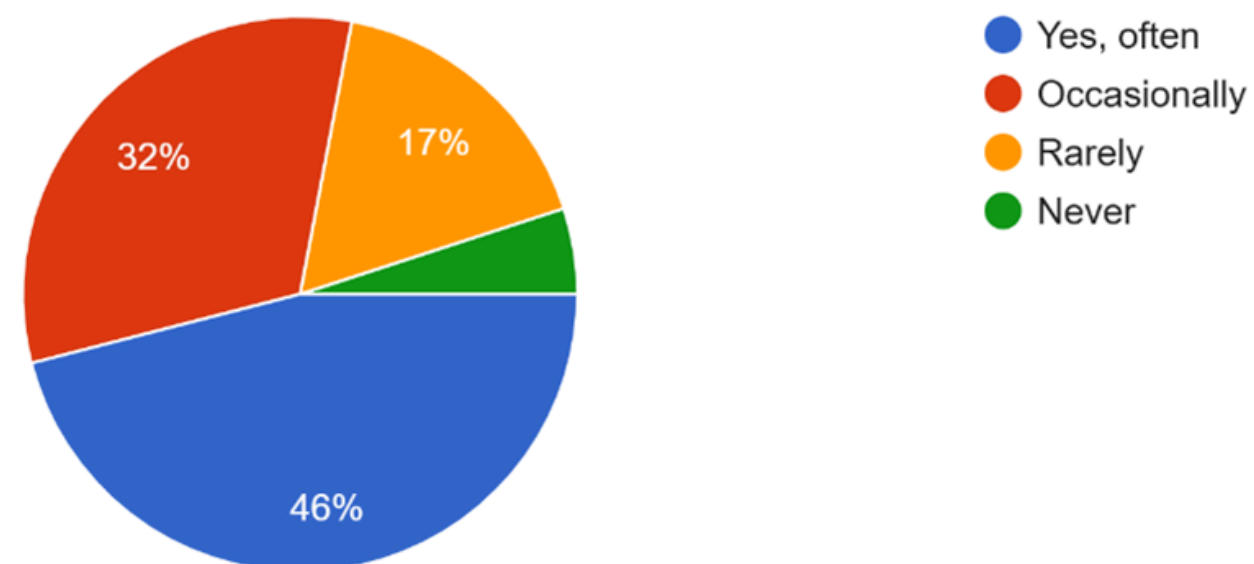


A large portion of respondents (48%) were students, with an equal percentage employed in the private sector. Only 5% were government employees.

Occupation:
100 responses



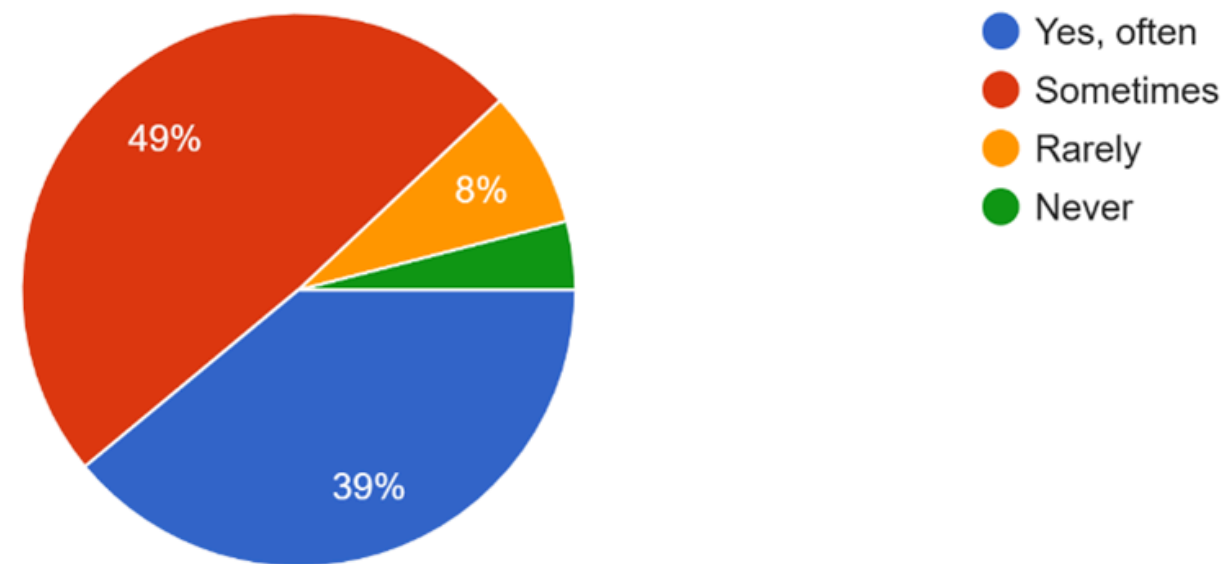
Does the convenience of UPI influence your decision to buy something on impulse?
100 responses



This indicates that digital payment systems may encourage spontaneous spending.

How frequently do you find yourself making impulsive purchases when using UPI compared to cash or card payments?

100 responses

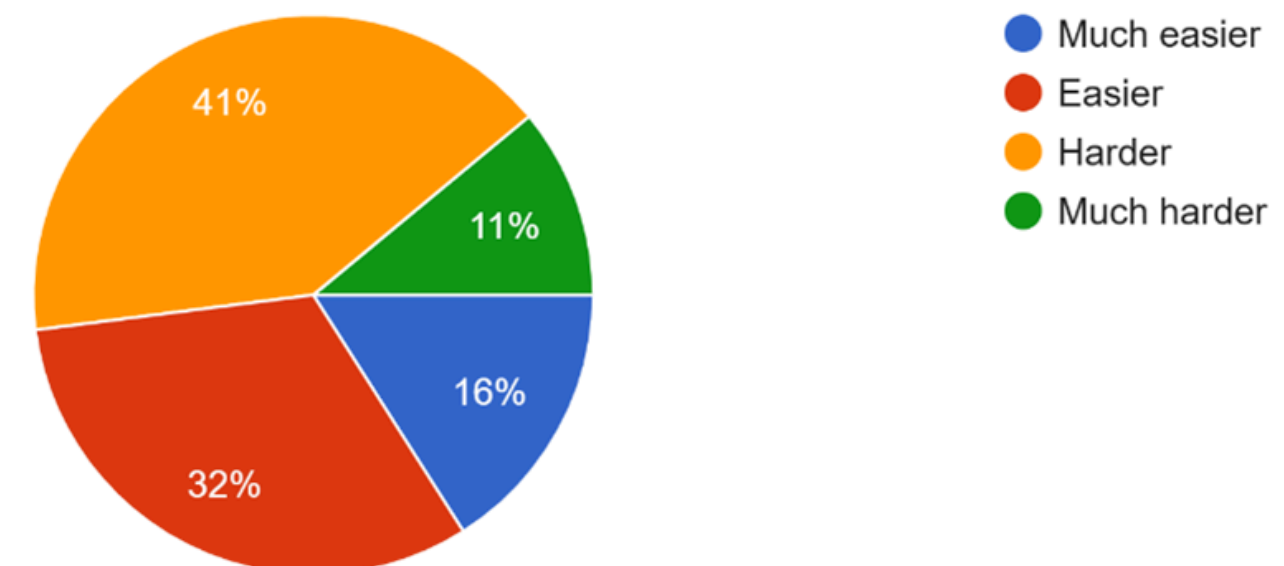


49% of respondents reported making impulsive purchases more frequently with UPI than with cash or card payments.

This suggests that while UPI offers convenience, it may also lead to less financial discipline for some users.

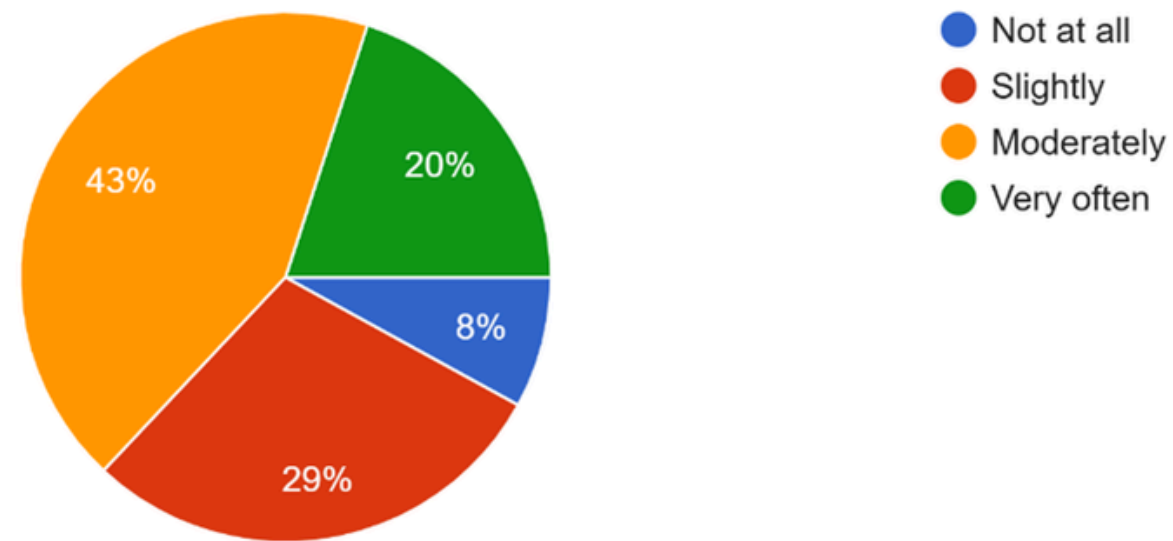
Do UPI transactions make it easier or harder to stick to a personal budget?

100 responses



If UPI apps provided detailed spending insights (e.g., automatic categorization, spending alerts), how likely are you to use them to manage expenses?

100 responses

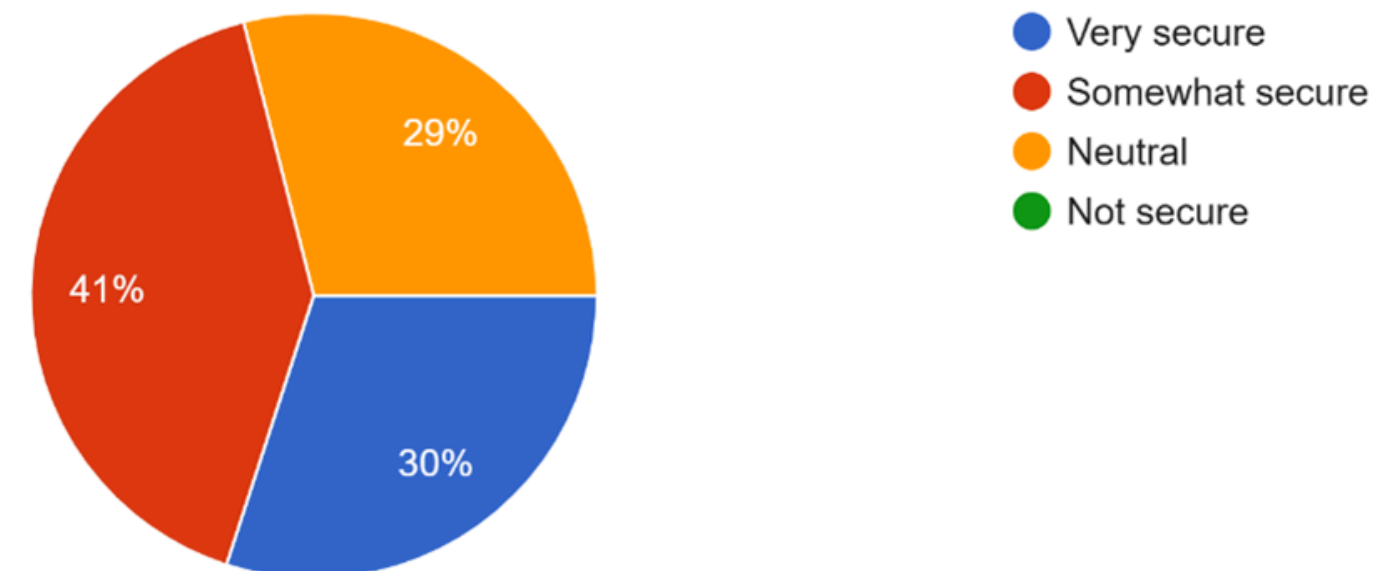


43% of respondents said they would frequently use UPI if it provided detailed spending insights.

Security Perception – 41% felt somewhat secure while using UPI, while 30% felt very secure.

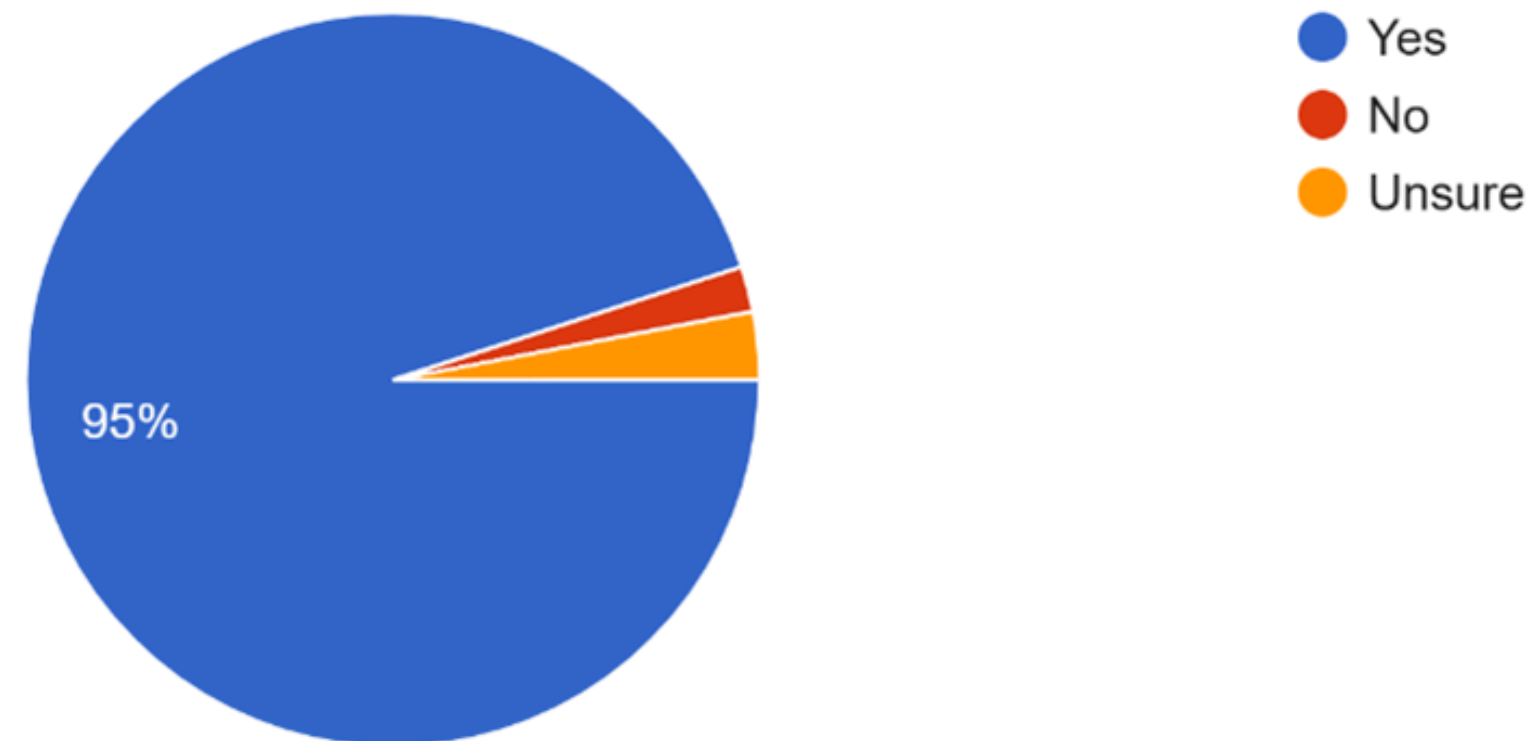
How secure do you feel when making payments through UPI?

100 responses



Do you think UPI has improved your overall payment experience?

100 responses



95% of respondents agreed that UPI has positively transformed the way they make payments.

"This overwhelming response confirms that UPI is a widely accepted and appreciated payment method in India."

FINDINGS

Young Adults as Key Contributors to UPI Transactions	Spending Patterns Among Different Groups
UPI's Impact on Financial Habits	UPI's Effect on Financial Discipline
Reduced Financial Restraint and Impulsive Spending	The Value of Financial Insights in UPI Apps
Security and Trust in UPI Transactions	UPI as a Convenient and Efficient Payment Method
Positive User Perception of UPI	Need for Education on Advanced UPI Features

CONCLUSION

- UPI Encourages Impulse Spending
- Budgeting Becomes More Challenging
- Spending Insights Can Improve Financial Awareness
- UPI is Considered Secure
- UPI Greatly Improves the Payment Experience



TAKEAWAYS



1

Convenience vs. Control

2

Impulse Spending Concern

3

Financial Insights as a Solution

4

Strong Security & Trust

5

Digital Payments Dominate

BIBLIOGRAPHY

International Journal of Research Publication and Reviews (IJRPR) (2024), "Impact of UPI on Consumer Spending Behaviour", IJRPR, Volume 5, Issue 11, pp. XX-XX. [Available at **Click the Share button on the top right corner of your screen and select 'Present and Record.'**]

Karthikeyan, R., & Kumar, S. (2024), "Impact of UPI Transaction on Purchasing Decision of Customers: A Survey in Chennai City", ResearchGate, Working Paper. [Available at: https://www.researchgate.net/publication/385709047_Impact_Of_UPI_Transaction_n_Purchasing_Decision_of_Customers_A_Survey_in_Chennai_City.]

Press Information Bureau (PIB) (2024), "UPI Transactions Witness Massive Growth: Government Report", Press Release, Ministry of Finance, Government of India. [Available at: **Feel free to choose the 'No camera' option and record your voice only.**]

Wikipedia Contributors (2024), "Unified Payments Interface", Wikipedia, The Free Encyclopaedia. [Available at: **Start recording and press pause in between takes if you have to.**]

Dev, H., Dharmavaram, S., Gupta, R., & Kumar, D. (2024). From cash to cashless: UPI's impact on spending behaviour among Indian users. Journal of Digital Payments, 1(1), 1-12.

Dharmavaram, S., Dev, H., Gupta, R., & Kumar, D. (2024). UPI's influence on consumer spending behaviour: An exploratory study. Journal of Consumer Research, 12(1), 1-15.

Thank you !